Mr. Market Is Rational After All

OR, WHY MARKETS don't care as much about the economy as you think.

Recall the Covid-19 pandemic that ramped up in 2020 (we'll discuss why this was a unique externality in later chapters). After the March 25 lows, the stock market took off—and went pretty much straight up for the rest of the year, gaining about 69%.

This was so despite the worst US economic collapse since the Great Depression. It was an *Off the Charts* economy,[197] with data series like GDP, unemployment rate, and initial jobless claims so bad they had to be rescaled just to fit on charts. There has never been an economic contraction of the depth and speed of the Covid-19 pandemic in American history.

The single biggest question of spring 2020 was, "How did the market become so unmoored from reality?" I was asked this by clients, colleagues, journalists, friends, and family members. With the economy in the dumps—unemployment was 10%, GDP had collapsed, and business closings seemed to be everywhere—it perplexed people that the stock market had decoupled from reality.

As is so often the case, the answer is found in the data.

The economy we each experience—local, personal, and (for the most part) not publicly traded—was awful. But *that* economy was only a small part of the stock market. To explain why these subjective experiences did not weigh down equity markets, we must look at the weakest industry sectors in 2020 and their impact on market indices.

The surprising conclusion:

> The most visible and economically significant market sectors are also among the smallest weight by market capitalization.

Let's start with some of 2020's worst-performing industries' stock prices: